Professor (Accounting) at Indian School of Business.

Kallapur further points to the role of independent directors. "They have a fiduciary responsibility to the corporation they represent," he says. In the US, for instance, independent directors are encouraged to own shares of the companies whose boards they sit on. The rationale for this is to get them to think like shareholders and have the company's best interests in mind.

The flip side, as Subramanian points out, is that independent directors are typically decided on factors like profile, competence and familiarity with promoters. "For a long time, independent directors have not been truly independent and that is a concern. They are professionals and are chosen to give an unbiased and fair opinion on key issues," he says.

POWER STRUGGLES

Succession battles are not a new phenomenon in the Tata Group. In the early 1990s, after the passing of JRD Tata, Ratan Tata had to contend with the satraps—Russi Mody, Ajit Kerkar and Darbari Seth —before he could consolidate his position.

Likewise, Cyrus Mistry (the scion of the Shapoorji Pallonji Group that owns 18.4% in Tata Sons), after becoming Chairman in 2012 was ousted in 2016 at a Tata Sons' board meeting. It led to Ratan Tata taking charge as interim Chairman before Chandrasekaran assumed charge in February 2017.

"It was really during Cyrus Mistry's ouster that one realised how skewed Tata Sons' articles of association was towards Tata Trusts," points out Sharmila Gopinath, an independent corporate governance consultant. That alone is an indication of how much power lies with Tata Trusts. In the current battle, media reports indicate that Srinivasan defied Tata Trusts, which had restrained him from voting on Tata Sons' listing.

"By voting contrary to what the trusts want, Venu Srinivasan is acting as any other director on the board of Tata Sons and not as a nominee of Tata Trusts," says Subramanian. "There is a complete breakdown of corporate governance since there is no alignment between Tata Sons' board and its largest shareholder. In addition to that, the two nominees of Tata Trusts are voting contrary to each other."

Given Chandrasekaran's term ends next February, there is still time for the Tata Sons' shareholders to convene. And although Tata Sons' listing is important, Subramanian emphasises that even after that, Tata Trusts will continue to be the major shareholder.

GIVEN CHANDRASEKARAN'S TERM ENDS NEXT FEBRUARY, THERE IS STILL TIME FOR THE TATA SONS' SHAREHOLDERS TO CONVENE

WHAT NOW

Why the Tata Sons' board decided to reappoint Chandrasekaran is not clear, especially when it must pass muster with its shareholders. Kothari says the approval of another five-year term of Chandrasekaran does not automatically mean that it will be confirmed in the AGM.

"Public perception and investor faith are sine qua non (a necessary condition without which nothing is possible) and it would be oxymoronic for anyone to believe that someone who has resigned will recalibrate himself to work with the same dedication and commitment only because his term has been extended," says Kothari.

One of the big issues is when the Tata Sons' AGM will take place. If one goes strictly by the law, it should be held in end November or early December (basically 15 months after the last one). "Unless the Charity Commissioner relents or the High Court passes a favourable order assuming an application or petition is filed soon, this limbo shall linger," maintains Kothari.

In the midst of all this, there is investor apprehension given the uncertainty on the entire issue. Kallapur expresses concern on how the current dispute between Tata Sons and its biggest shareholder has not been good for the image of the conglomerate. "The Tata Group has a reputation of being trust builders and it is one earned over time. That has now taken a hit," he says.

The legal question may ultimately determine how much power the board has. But the immediate test will come when Tata Sons' largest shareholder gets its chance to vote.

According to Ranina, there is no ambiguity on the issue that unanimity is needed for the reappointment of Chandrasekaran as Tata Sons' Chairman. "That was the case when Tata Sons proposed N. Chandrasekaran's name. What we are seeing is merely a decision of Tata Sons' board and Tata Trusts, with a 66% shareholding, needing to clear it. On the face of it, that is looking unlikely," he says. BT

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